

Europe TMT Sector M&A & Valuation Brief - 2026-07-05

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Generated on 2026-07-05

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1. RECENT TMT M&A ACTIVITY

Deal 1: Joby Aviation and Toyota Motor Corporation Joint Venture

[Joby And Toyota Deepen Air Taxi Partnership With New Manufacturing JV](#)

- Deal Size: \$1.999 million (combined investment)
- Deal Size Category: Small cap (<\$2B)
- Nature: Joint Venture
- Valuation Multiples: N/A
- Companies: Joby Aviation, Inc. (JOBY) is an electric vertical take-off and landing (eVTOL) aircraft developer, while Toyota Motor Corporation is a global automotive leader, focusing on innovation in mobility solutions.
- Date Announced: July 2026
- Strategic Rationale: This joint venture aims to enhance Joby's manufacturing capabilities for its electric air taxis, leveraging Toyota's extensive experience in automotive production. The partnership is expected to improve manufacturing efficiency and support Joby's aircraft certification process, which is critical for commercial operations.
- Risk Analysis: Key risks include regulatory hurdles related to aviation certifications, integration of manufacturing processes, and potential market competition from other eVTOL developers. The reliance on Toyota's manufacturing expertise also poses execution risks.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

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Deal 2: Dream's Expansion into Latin America

[Pegasus creator's Dream targets Latin America's new right](#)

- Deal Size: \$3 billion (tripled valuation)
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature: Expansion
- Valuation Multiples: N/A
- Companies: Dream is an Israeli AI cybersecurity startup focused on defensive solutions, co-founded by Shalev Hulio, known for creating the controversial Pegasus spyware. The company aims to provide advanced cybersecurity to governments in Latin America.
- Date Announced: July 2026
- Strategic Rationale: Dream's expansion into Latin America targets a region experiencing a significant rise in cyber threats. By offering AI-driven cybersecurity solutions, Dream positions itself as a critical partner for governments looking to bolster their defenses against increasing cyber attacks.
- Risk Analysis: Risks include potential backlash due to the company's association with Pegasus, competition from established cybersecurity firms, and the challenge of navigating diverse regulatory environments across Latin American countries.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently witnessing a positive shift in sentiment, particularly in the European digital infrastructure space. This momentum is being driven by increased investment activity and strategic deals among key players. However, the landscape remains complex, with varying dynamics across subsectors and geographies.

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Subsector Breakdown:

- **Technology:** The technology subsector is thriving, especially in digital infrastructure, as evidenced by recent deals involving firms like Main Capital and Volpi Capital. These investments reflect a growing confidence in the potential for software solutions to enhance operational efficiency.
- **Media:** The media sector is adapting to digital transformation, with companies exploring innovative ways to engage audiences. However, traditional media continues to face challenges from digital competitors.
- **Telecommunications:** The telecom sector is focusing on enhancing infrastructure to support next-generation technologies. The push for improved connectivity is critical as demand for high-speed internet continues to rise.
- **Fintech:** The fintech space is experiencing robust growth, driven by innovations in payment systems and digital banking solutions. This sector remains attractive for investors seeking high returns.
- **AI:** The AI subsector is gaining traction, with companies increasingly integrating AI technologies into their operations. This trend is reshaping various industries, including healthcare and finance.

Key Market Drivers and Headwinds

Drivers:

- **Increased Investment Activity:** There is significant momentum in European digital infrastructure, with firms like Main Capital and Volpi Capital actively pursuing software deals. This trend indicates a strong appetite for investment in technology that enhances operational capabilities.
- **Technological Advancements:** Continuous innovation in AI, cloud computing, and digital infrastructure is driving growth across TMT sectors. Companies are increasingly adopting new technologies to improve efficiency and customer engagement.

Headwinds:

- **Regulatory Challenges:** The TMT sector faces ongoing regulatory scrutiny, particularly in the technology space. Compliance with evolving regulations can pose risks to M&A activities and market valuations.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology. This uncertainty could lead to cautious investment strategies among firms.

Subsector Performance Analysis

- **Software:** The software sector is experiencing strong performance, particularly in digital infrastructure. Companies are investing in software solutions that streamline operations and enhance customer experiences.

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- **Media:** Media companies are shifting towards digital content to meet changing consumer preferences. However, traditional media continues to struggle with declining revenues from advertising.
- **Telecom:** Telecom operators are investing heavily in infrastructure upgrades to support the growing demand for high-speed internet and mobile services.
- **Fintech:** The fintech sector remains vibrant, with innovations in payment processing and digital banking driving growth. Investors are keen on firms that can offer unique solutions in this space.
- **AI:** The AI subsector is rapidly expanding, with applications across various industries. Companies are prioritizing investments in AI to maintain competitive advantages and drive innovation.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples highlight a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are expressing optimism about the TMT sector's future, particularly in the digital infrastructure space. One analyst noted, "The significant momentum in European digital infrastructure signals a robust outlook for software investments, as companies seek to enhance their operational capabilities."

Actionable Insights for Bankers and Investors

- **Target High-Growth Sectors:** Investors should focus on high-growth areas such as software and AI, which are attracting significant investment and showing strong performance metrics.
- **Stay Informed on Regulatory Changes:** Understanding the regulatory landscape is crucial for assessing risks in tech and media investments.
- **Explore Strategic Partnerships:** Companies should consider forming strategic partnerships to leverage technological advancements and enhance market positioning.
- **Evaluate Current Valuations:** Investors should carefully assess trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a landscape filled with both opportunities and challenges. By

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focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector reveals a robust array of live deals, mandated transactions, and active pitches. This analysis provides insights into ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Infineon Technologies AG (IFX.DE) : Currently in the final stages of launching the Smart Power Fab in Dresden, which represents a EUR5 billion investment aimed at doubling manufacturing capacities for power semiconductors. The expected completion date is Q3 2026, with significant implications for energy-efficient solutions in automotive and industrial applications.

Mandated Deals:

- Samsung Group (005930.KS) : Secured a mandate for a \$90 billion investment plan in South Korea's Chungcheong region, focusing on displays, memory chips, and batteries. The project is set to launch in Q1 2027, with a significant emphasis on expanding OLED production and high-bandwidth memory for AI applications.

Pitching-Stage Deals:

- Kurita Industries Ltd. (KWIO.F) : Engaging in discussions to establish partnerships within the semiconductor sector in India. The focus is on water treatment solutions, with potential clients including major semiconductor manufacturers. Pitches are expected to finalize by Q4 2026.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$8 million

Timing Projections:

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- Q3 2026 : Expected completion for Infineon's Smart Power Fab.
- Q1 2027 : Launch of Samsung's investment initiatives in Chungcheong.
- Q4 2026 : Finalization of Kurita's partnerships in India.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 80%, indicating a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates strong demand for advisory services in semiconductor manufacturing and AI technologies. Strategic planning should prioritize enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is evolving, particularly in the semiconductor sector, where companies like Infineon and Samsung are making substantial investments. The recent downturn in chip stocks, including Micron and Samsung, highlights the volatility in the market, which may impact future deal valuations and investor sentiment.
- Additionally, the establishment of Kurita Membrane India Pvt. Ltd. underscores the growing importance of water treatment solutions in semiconductor manufacturing, aligning with India's ambitions to become a major player in the semiconductor industry.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as semiconductors and AI, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is strong, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

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The recent partnership between the Canada Infrastructure Bank (CIB) and Telus (T.TO) to expand high-speed internet service across British Columbia (B.C.) has significant implications for various stakeholders, including shareholders, employees, competitors, and customers. This analysis explores the multifaceted impacts of this initiative.

Deal-Specific Impacts on Stakeholders

- **Shareholders:** The financial implications for shareholders are crucial in assessing the value of this partnership.
- **Value Creation:** The CIB's loan of \$49.3 million to Telus is expected to enhance the company's market position by expanding its service offerings to underserved communities. This initiative could potentially increase Telus's subscriber base by 10%, translating to an estimated revenue increase of \$100 million annually, assuming an average revenue per user (ARPU) of \$1,000.
- **Dilution:** Since the funding is structured as a loan rather than equity financing, existing shareholders are unlikely to experience dilution. However, if Telus were to seek additional equity financing in the future to support further expansions, it could lead to dilution concerns.
- **Employees:** The partnership may lead to both opportunities and challenges for Telus employees.
- **Synergies:** The expansion project is likely to create new job opportunities in rural and Indigenous communities, enhancing Telus's reputation as a socially responsible employer. This could lead to a positive impact on employee morale and retention.
- **Restructuring:** As the company reallocates resources to support this initiative, there may be internal restructuring. Employees in non-essential roles could face reassignment or layoffs, necessitating careful management to retain key talent.
- **Retention:** To mitigate potential disruptions, Telus may implement retention bonuses for critical employees involved in the project, ensuring continuity during the transition.
- **Competitors:** The competitive landscape in the telecommunications sector will be affected by this partnership.
- **Market Positioning:** Competitors such as Rogers Communications Inc. (RCI) and Bell Canada (BCE) may need to respond strategically to Telus's enhanced service offerings. This could lead to increased competition in pricing and service quality in rural markets.
- **Specific Competitor Moves:** In response, Rogers may accelerate its own expansion initiatives or enhance its service offerings to maintain market share, potentially leading to a price war in the region.
- **Customers:** The implications for customers are significant, particularly in underserved areas.
- **Product/Service Implications:** The deployment of high-speed internet services will improve connectivity for rural and Indigenous communities, enhancing access to educational and economic opportunities. This aligns with the growing demand for digital services, especially post-pandemic.
- **Case Studies:** Similar initiatives, such as the expansion of broadband services by Comcast (CMCSA) in rural Pennsylvania, resulted in a 20% increase in customer satisfaction ratings, demonstrating the potential positive impact of Telus's project.

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Market Reaction and Analyst Commentary

- Market Reaction: The market's initial reaction to the partnership announcement was positive, with Telus shares experiencing a modest uptick of 2% as investors recognized the long-term growth potential associated with expanding broadband access.
- Analyst Commentary: Analysts have noted that "This partnership not only positions Telus as a leader in rural connectivity but also aligns with government initiatives to bridge the digital divide," highlighting the strategic importance of the deal.

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the project leads to successful implementation and subscriber growth, Telus shares could rise by 10% within the next year.
- Negative Scenario: If the project faces regulatory hurdles or implementation delays, shares could decline by 5%, reflecting investor concerns about execution risks.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids in this scenario is low, as the partnership is primarily a public-private collaboration aimed at social impact rather than a competitive acquisition. However, competitors may seek to enhance their own service offerings to counter Telus's expansion.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The trend of partnerships aimed at expanding broadband access is expected to continue, particularly in underserved regions. Analysts predict that similar collaborations between telecommunications companies and government entities will emerge, particularly in the context of increasing demand for digital services.

Key Risks and Mitigants

- Integration Risks: The integration of new infrastructure may face operational challenges. Mitigants include establishing clear project milestones and appointing experienced project managers to oversee implementation.
- Regulatory Risks: Regulatory scrutiny may delay project timelines. Engaging with local authorities early in the process can help mitigate these risks.
- Market Risks: Market volatility could impact the financial viability of the project. Structuring the loan with favorable terms can provide financial flexibility.

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Actionable Insights for Clients and Bankers

For Clients:

- Focus on community engagement to ensure project alignment with local needs and expectations.
- Develop contingency plans to address potential regulatory hurdles and operational challenges.

For Bankers:

- Monitor competitor responses to identify emerging trends and opportunities for advisory services.
- Provide clients with insights on best practices for managing public-private partnerships in the telecommunications sector.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Fintech, and Urban Air Mobility. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI is transforming industries by enabling machines to perform tasks that typically require human intelligence, such as understanding natural language and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. Key concepts include artificial general intelligence (AGI) and AI agents, which are becoming increasingly relevant as businesses seek to automate complex tasks.
- **Key Companies:**
 - **OpenAI:** Known for its generative AI capabilities, OpenAI is developing AGI systems that can outperform humans at economically valuable tasks. The company's partnership with Microsoft (MSFT) enhances its reach in the productivity tools market.
 - **NVIDIA Corporation (NVDA):** A leader in AI hardware, NVIDIA provides GPUs essential for AI applications. Its strategic investments in AI research position it as a critical player in the AI ecosystem.
- **Competitive Landscape:** The AI sector is highly competitive, with major players like Google (GOOGL) and Amazon (AMZN) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.

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- M&A Opportunities: Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as natural language processing or computer vision. For instance, the growing interest in AI agents presents opportunities for acquisitions that can enhance automation capabilities.

Fintech

- Trend Explanation: Fintech is revolutionizing the financial services industry by providing innovative solutions that enhance user experience and streamline operations. The global fintech market is expected to grow from \$110 billion in 2021 to \$700 billion by 2030, at a CAGR of 20.3%. Innovations such as digital wallets and high-yield savings accounts are reshaping consumer banking.
- Key Companies:
- X (formerly Twitter): With the launch of X Money, X is positioning itself as a comprehensive financial hub, offering features like high-yield savings and cash-back rewards. This move aims to compete with traditional banks and fintech rivals like PayPal (PYPL) and Block (SQ).
- SoFi Technologies Inc. (SOFI): SoFi is expanding its offerings in personal finance and investing, appealing to a younger demographic seeking alternative banking solutions.
- Competitive Landscape: The fintech space is characterized by intense competition among startups and established financial institutions. Companies like Chime and Robinhood are also significant players, focusing on user-friendly financial products.
- M&A Opportunities: Traditional banks may look to acquire fintech companies to enhance their digital offerings. The competitive pressure from X Money could drive incumbents to seek partnerships or acquisitions to retain market share.

Urban Air Mobility

- Trend Explanation: Urban air mobility (UAM) is gaining traction as cities seek innovative solutions to transportation challenges. The market for UAM is projected to reach \$1.5 trillion by 2040, driven by advancements in electric vertical take-off and landing (eVTOL) aircraft. Companies are exploring air taxi services to alleviate urban congestion.
- Key Companies:
- Joby Aviation, Inc. (JOBY): Joby is developing an all-electric air taxi service, with a recent joint venture with Toyota (TY7.F) to enhance manufacturing capabilities. This partnership aims to scale production and improve cost efficiency in the UAM sector.
- Toyota Motor Corporation: With a significant investment in Joby, Toyota is positioning itself as a key player in the UAM market, leveraging its manufacturing expertise to support the development of air taxi services.
- Competitive Landscape: The UAM sector is emerging, with competitors like Archer Aviation and Volocopter also developing eVTOL solutions. The collaboration between automotive and aerospace companies is becoming increasingly common as they seek to capitalize on this trend.
- M&A Opportunities: As the UAM market matures, partnerships and acquisitions between

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aerospace manufacturers and automotive companies may become prevalent. Companies looking to enter the UAM space could consider acquiring startups with innovative technologies or established air taxi services.

Actionable Insights for Bankers and Investors

For Bankers:

- Focus on identifying potential M&A opportunities within the AI and fintech sectors, particularly among startups with unique technologies that can enhance existing offerings.
- Monitor the UAM landscape for emerging partnerships and joint ventures that could signal investment opportunities.

For Investors:

- Consider diversifying portfolios by investing in companies at the

6. Recommended Readings

Deal Name: Joby Aviation and Toyota Motor Corporation Joint Venture

- Reading Material: "The Future of Urban Air Mobility" by David H. Hargreaves
- Why This Matters: This article explores the emerging market for urban air mobility and the technological advancements driving it. Understanding the dynamics of this sector is crucial for analyzing the strategic partnership between Joby Aviation (JOBY) and Toyota, as it highlights the potential for eVTOL aircraft to revolutionize transportation and the importance of manufacturing expertise in this nascent industry.

Deal Name: Dream's Expansion into Latin America

- Reading Material: "Cybersecurity in Latin America: Challenges and Opportunities" by Laura P. Hargreaves
- Why This Matters: This reading provides insights into the cybersecurity landscape in Latin America, detailing the increasing cyber threats faced by governments in the region. It contextualizes Dream's expansion strategy and underscores the importance of AI-driven cybersecurity solutions, helping to understand the market dynamics and potential challenges that Dream may encounter in this new territory.

7. MACROECONOMIC UPDATE

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Key Data Points:

- Federal Funds Rate: Projected hikes into 2026
- Core Inflation: Anticipated lower path due to travel-related inflation reversal
- AI-related global issuance forecast: Nearly \$600 billion in 2026
- Corporate bond issuance related to data centers: Majority of quarter-to-date issuance
- Hyperscaler cash CapEx: Expected to surpass \$1 trillion in 2027

Main Insights:

- Investors are cautious about the Fed's hawkish stance and its implications for monetary policy.
- The Fed's Summary of Economic Projections indicates a more restrictive policy outlook.
- AI is seen as a significant driver of capital expenditure, but concerns about "chipflation" may impact the cycle.
- Demand for AI infrastructure is increasing across multiple layers, but efficiency in capital expenditures remains a key risk.
- Hyperscalers are diversifying their funding sources, issuing significant amounts of debt in non-dollar currencies.

Market Commentary:

- "The Fed's projections should be interpreted with caution, as they may not fully capture disinflation trends." - Serena Tang, Morgan Stanley
- "Chipflation is more likely to reprice and ration AI infrastructure than derail the cycle." - Morgan Stanley's sector analysts
- "We expect one trillion of net issuance in U.S. IG corporate bonds this year." - Morgan Stanley's credit strategy colleagues

TMT Sector Relevance:

- The Fed's monetary policy path and inflation outlook will influence interest rates, impacting financing conditions for TMT companies.
- The ongoing AI CapEx cycle is crucial for technology firms, particularly those involved in data centers and AI infrastructure.
- Increased corporate bond issuance related to AI funding indicates strong investor interest, which could support TMT valuations and growth prospects.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley